Mahindra Logistics Ltd

Q3FY23 Result Update | Logistics

Best is yet to come

DALAL & BROACHA
STOCK BROKING PVT. LTD.

Equity Research Desk

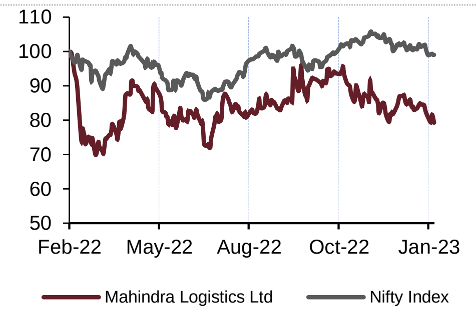
03rd February 2023

Rating	TP (Rs)	Up/Dn (%)
NEUTRAL	450	-2

Market data		
Current price	Rs	457
Market Cap (Rs.Bn)	(Rs Bn)	33
Market Cap (US$ Mn)	(US$ Mn)	401
Face Value	Rs	10
52 Weeks High/Low	Rs	588 / 391
Average Daily Volume	('000)	142
BSE Code		540768
Bloomberg		MAHLOG.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Dec-22	Sep-22
Promoters	58.10	58.11
Public	41.9	41.89
Total	100	100

Source: Bloomberg

Mahindra Logistics Q3FY23 Revenue was slightly lower than expectations

- **Revenue** for Q3FY23 increased by 17% YoY to Rs 13296mn, mainly led by 17.6% rise in SCM business that grew to Rs 12646mn.
- **EBIDTA margins** stood at 4.7% v/s 4% YoY and 5.1% QoQ.
- Transportation led logistics business grew by 24% YoY to Rs 9969mn whereas Warehouse and services business degrew by 2% YoY to Rs 2675mn, on account of higher share of Mahindra's volume.
- PAT (owners) de-grew by 21.5% YoY to Rs 13.9mn mainly led by losses in MLL express business which includes the Rivigo business.
- Rivigo business in current quarter recorded topline of ~ 446mn, EBIDTA loss of Rs 89mn and Pat-loss of Rs 110mn.
- Ex of Rivigo PAT increased to 120mn as against Rs 30mn on a comparative basis.

Outlook:

- Auto sector demand remains in the upward trajectory especially with newer PV models in demand, chip shortage issue has reduced and OEM's have been able to increase prices. 2W and entry-level PV's remain weak.
- Break-even in Rivigo would be key to watch, as that would impact EBIDTA margins in the short-to-medium term period.
- National Logistics policy and Gati-Shakti master plan would reduce the cost of logistics to GDP from 14-15% to 8-10% and act as a catalyst expand the size of the industry as well.

Financial Summary

Y/E Mar (Rs mn)	FY21	FY22	FY23E	FY24E	FY25E
Net sales	32,636	41,408	52,218	61,845	70,261
EBIDTA	1,341	1,843	2,648	3,341	3,878
Margins	4.1	4.5	5.1	5.4	5.5
PAT (adj)	319	176	301	701	1,050
growth (%)	(42.0)	(44.9)	70.9	133.0	49.8
EPS	4.5	2.4	4.2	9.7	14.6
P/E (x)	100.1	182.2	106.7	45.8	30.6
P/B (x)	5.6	5.9	5.7	5.3	4.6
EV/EBITDA (x)	24.0	18.2	13.5	10.5	8.6
RoE (%)	5.6	3.2	5.4	11.5	15.1
ROCE (%)	5.3	4.5	7.1	10.9	13.4

Source: Dalal and Broacha

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SEGMENTS

Revenue Mix 2 : Rs Crs as per Company Presentation	Q1FY22	Q2FY22	Q3FY22	Q1FY23	Q2FY23	Q3FY23	YoY Growth	QoQ Growth
SCM	840.1	978.4	1074.9	1142.7	1263.4	1264.6	*18%*	*0%*
Mobility	43.1	54.6	61.1	57.3	62.8	64.9	*6%*	*3%*
Total	**883.2**	**1033**	**1136**	**1200**	**1326.2**	**1329.5**	*17%*	*0%*

- **SCM Business (95% Revenue):**
  - Strong Revenue growth driven by auto recovery in Mahindra Business.
  - Enterprise Mobility Services (EMS) reported revenue of Rs 650m (+6% YoY) and EBIT loss of Rs 24mn.
  - During the quarter (effective 1st Oct'22), the enterprise mobility business was transferred to MLL Mobility Pvt Ltd. Pursuant to the transfer, MLL now runs only the supply chain management business.

Revenue Mix 2B SCM : Rs Crs as per Company Presentation	Q1FY22	Q2FY22	Q3FY22	Q1FY23	Q2FY23	Q3FY23	YoY Growth	QoQ Growth
Mahindra	438.5	483.1	483.8	621	708.5	684.0	*41%*	*-3%*
Non Mahindra	401.5	495.4	591.2	521.7	554.9	580.6	*-2%*	*5%*
% Wise								
Mahindra	52%	49%	45%	54%	56%	54%		
Non Mahindra	48%	51%	55%	46%	44%	46%		

- **Volume growth** in case of MNM in Q3FY23 stood at 31% @ 281849 units which led higher contribution from MNM business

Revenue Mix 2C SCM : Rs Crs as per Company Presentation	Q1FY22	Q2FY22		Q1FY23	Q2FY23	Q3FY23	YoY Growth	QoQ Growth
Transportation	670.6	734.8	802.4	877.3	986.5	996.9	*24%*	*1%*
Warehousing	169.4	243.7	272.6	265.4	276.9	267.5	*-2%*	*-3%*
% Wise								
Transportation	80%	75%	75%	77%	78%	79%		
Warehousing	20%	25%	25%	23%	22%	21%		

- Higher MNM business led transportation business to rise v/s warehousing which is lower margins thus EBIDTA margins were impacted to some extent on a QoQ basis as well from 5.1% to 4.7%. Similar trend visible in gross margins as well
- Warehousing and solution business was impacted on account of lower festive demand which led to lower temporary ware-house as well.

Warehouse Details:	Q1FY22	Q2FY22	Q3FY22	Q1FY23	Q2FY23	Q3FY23	YoY Growth	QoQ Growth
Warehouse	11.7	13.1	13	13.3	13.9	15.4	18.5%	10.8%
Stockyard	6.4	4.1	4.1	4.1	4.1	3.7	-9.8%	-9.8%
Total Sq Foot	18.1	17.2	17.1	17.4	18	19.1	11.7%	6.1%
Realization Approx	9.4	14.2	15.9	15.3	15.4	14.0	-12.1%	-9.0%

- **Warehouse space** increased by 12% on a QoQ basis and stood at 19mnsqft, however realization dropped

Additional Details:

Revenue 1: Business Wise Rs Crs	Q1FY22	Q2FY22	Q3FY22	Q1FY23	Q2FY23	Q3FY23	YoY Growth	QoQ Growth
MLL	768.3	911.44	970.9	1068.4	1194.23	1133.4	*17%*	*-5%*
Lords (freight Forwarding)	94.8	100.8	141.2	109.2	105.6	78.4	*-44%*	*-26%*
2x2	10.2	6.8	5.7	0.1	4.1	7.7	*35%*	*88%*
Meru	9.9	14	18.2	22.2	22.4	65.5	*260%*	*192%*
MLL Express			0			44.6		
Whizzard	0	0	0	0	0	0		

Revenue Mix 2A SCM : Rs Crs as per Company Presentation	Q1FY22	Q2FY22	Q3FY22	Q1FY23	Q2FY23	Q3FY23	YoY Growth	QoQ Growth
3PL	682.9	799.3	834.8	944.7	1052.6	1034.5	*24%*	*-2%*
Network Services	157.2	179.1	240.2	198.1	210.8	230.1	*-4%*	*9%*

- Express business records strong growth of 120% YoY and 81% QoQ on account of Rivigo Acquisition
- Big correction in ocean freight rates led the Lords Business drop 44% YoY and 26% QoQ

SCM			MOBILITY	
NETWORK				
Network Hubs	32		Operating Locations:	500+
Customers	300+		Cities	12+
Active Business Partners	1750+		Drivers	6000+
Ware Housing Space Under Management (mn Sq FT)	19.1		Vechiles Deployed per day	5500+
			Airports in India	5
			Ev's in Fleet	200+
Business Offerings				
eDel	Last mile electric cargo delivery ecosystem		Alyte	Enterprise mobility solutions (B2B)
Lords	air and ocean freight forwarding		Meru	People mobility solutions (B2C)
2x2 Logistics	Finished Vehicle Logistics (AOB)			
Whizard	tech enabled automated intra-city fulfilment & distribution network for last mile delivery			
Transtech (Shipx)	SaaS based TMS platform for supply chain automation			

RIVIGO ACQUISITIONS	
Rivigo Acquisition Cost :	Rs 225 crs on slum Sale Basis
Rivigo Logistics Tech Unicorn History	
Co-Founder :	Deepak Garg
Started	2014
Business Model:	Started as Relay trucking then pivoted to Relay as a service ‖ Turned from Asset Heavy to Asset Light
Network:	19000 pin codes Pan India
	250+ processing centres and branches
	1.5 million sq.ft.
	3mn+ packages handeled
	220+ transshipments hub
	400+ business partners
	150+ daily feeders
	75+ daily line hauls
Financials B2B Express:	
FY22	Rs 371.3crs
FY21	Rs 295crs
FY20	Rs 528.5crs
EBIDTA current:	approx negative 7 to 8%
VALUATIONS:	
MNM's Revenue FY22	Rs 4141crs
Additional Revenue	Rs 371crs
Approximate Addition to Revenue	9%
Acquisition Cost (on Slum Sale Basis)	0.7x Sales

We belive it is a good fit in the overall scheme of things and MLL could generate synergies, scale revenues and generate profitability in next few quarters

MLL's Express Business (existing)	
Pincodes covered:	8000
Gross Margins	-0.5% as in expansion mode
Total Revenue on Acquisition of Rivigo:	Rs 180crs (existing) +Rs 370crs = Rs 550crs

Conference Call Highlights

DEMAND (Overall)

- Overall logistics solution is witnessing an improving trend
- Strong Bookings in Auto 4W SUV's continue

BUISINESS (Automotive)

- Chip shortage issue is reducing
- Raw Materials cooling off on a QoQ basis
- EV adoption to drive growth

BUSINESS (Farm & Agro)

- Tractor business continues to do well

BUSINESS (E-Commerce)

- Online adoption continues.
- Festive to festive demand was lower than expectations
- Consumer durable industry saw moderation in demand after the festive. Sector continues to face margin pressure due to higher input prices
- Consolidation witnessed in the industry.
- Slowness will continue till next festive

BUSINESS (Consumer Pharma, FMCG and consumer durable)

- Demand moderation observed especially in low-value and entery levels items weak

FINANCE AND OPERATIONS

- Rivigo Acquisition of B2B express business led to a spike in the interest cost for MLL by almost 99%. We expect the interest expense to be at current levels in the near term.
- Rivigo is currently clocking ~INR3.6b of annualized revenue (6 weeks recorded @ Rs 450mn) run-rate. MLL is targeting a PAT breakeven for Rivigo business in FY24E.
- Transportation business margins are high single digit and Warehouse in mid-teens
- Customer overlap between 3pl and Network Services = 25-30%
- Network Business is ~20% of revenue currently has 5% gross margins that should go up to 10% on peak levels
- Other Income increased on account of income tax refund
- MLL aims to reach warehouse space upto 20msq.ft. (currently 18msq.ft.) to further boost its warehousing and value added services
- EDEL business now at 1200 vehicles with 16 cities covered
- **Freight forwarding:** price still remains soft. Longer term business is expected to grow at CAGR of 20%
- **NET MARGINS Outlook:** 3PL (~ 75% of revenue) which is currently ~1.5% is expcted to clock ~ 2% in next 3 to 4 years || Network Services (~20% of revenue) should be able to generate margins aided by Freight and Forwarding which is capable to generate 3-4% margins post turn-around. || Mobility business (~5% of revenue) will take some time.

Quarterly Financials

MAHLOGISTICS (Rs Mns)	Q3FY22	Q2FY23	Q3FY23	YoY Growth	QoQ Growth
Revenue	11360	13263	13296	*17.0%*	0.2%
Other Income	28.8	33.5	55.8	*93.8%*	66.6%
Total Income	**11388.8**	**13296.8**	**13351.3**	*17.2%*	0.4%
Raw materials	38.5	2.5	0.0		
Operating Exps	9828.4	11464.6	11342.3	*15.4%*	-1.1%
Employee Cost	803.4	830.0	944.8	*17.6%*	13.8%
Other Expenses	236.3	290.3	381.0	*61.2%*	31.2%
EBIDTA	**453.4**	**675.9**	**627.4**	***38.4%***	**-7.2%**
Finance Cost	75.2	107.4	149.7	*99.1%*	39.4%
Depreciation	375	435.5	498	*32.8%*	14.4%
PBT	**32**	**166.5**	**35.5**	***10.9%***	**-78.7%**
Exceptional Items		0			
PBT (incl Exceptional)	32	166.5	35.5	*10.9%*	-78.7%
Tax	20.5	47.4	18.8	*-8.3%*	-60.3%
PAT	11.5	119.1	16.7	*45.2%*	-86.0%
Sh of Pft/ Loss of Associates	0	-6.1	-5.6		
NoN Controlling Int	-6.2	-8.9	-2.8	*-54.8%*	-68.5%
Adj Net PAT	17.7	121.9	13.9	*-21.5%*	-88.6%
Equity Capital	718.6	719.6	719.7	*0.2%*	0.0%
FV	10	10	10		
EPS	0.25	1.69	0.19	*-21.6%*	-88.6%
% to Revenue					
Raw materials	0.3%	0.0%	0.0%		
Operating Exps	86.5%	86.4%	85.3%		
Employee Cost	7.1%	6.3%	7.1%		
Other Expenses	2.1%	2.2%	2.9%		
EBIDTA	**4.0%**	**5.1%**	**4.7%**		
Tax Rate	**64.1%**	**28.5%**	**53.0%**		
NPM	**0.2%**	**0.9%**	**0.1%**		
SEGMENTAL Revenue					
Supply Chain Management	10749.5	12634	12645.7	*17.6%*	0.1%
Enterprise Mobility	610.5	629.3	649.8	*6.4%*	3.3%
Total	**11360**	**13263.3**	**13295.5**	*17.0%*	0.2%
PBIT					
Supply Chain Management	578	765.7	59.7	*-89.7%*	-92.2%
Enterprise Mobility	38.5	36.9	-24.2	*-162.9%*	-165.6%
Total	**616.5**	**802.6**	**35.5**	*-94.2%*	-95.6%
PBIT MARGINS					
Supply Chain Management	5.4%	6.1%	0.5%		
Enterprise Mobility	6.3%	5.9%	-3.7%		
Total	5.4%	6.1%	0.3%		

Outlook & Valuation

The company has building blocks in place with investments in technology. MLL has an aspiration to reach Rs 10000crs revenue by FY26. Management targets to improve gross margin by 25-50bps in the medium term. For the last mile business, its aim is to achieve gross margin of 6-8% in the medium term.

In the last few years, MLL has undertaken significant investment in network services (last mile, express logistics and freight forwarding) which has led to capacity addition and now the company ***has moved into a consolidation phase.*** These newer business i.e. express logistics, freight forwarding are at very nascent stage with tremendous growth opportunities with the current National Logistics Policy acting as the catalyst for growth.

We have re-worked our numbers post conference call and have rolled over to FY25. At CMP of Rs 446 Mahindra Logistics trades at 107x FY23e EPS of Rs 4.2 and 46x FY24e EPS of Rs 9.7 and 31x FY25e EPS of Rs 15.

Long-term story remains very positive however we do believe newer business will see short-term hiccups till the time they attain scale benefits thus we revise our ratings **from HOLD to NEUTRAL** with a **price target of Rs 450** i.e. 30x FY25 earnings**.**

Financial

P&L (Rs mn)	FY21	FY22	FY23E	FY24E	FY25E
Net Sales	32,636.2	41,408.1	52,218.3	61,845.5	70,261.0
Freight Expenses	(27,643.0)	(35,497.7)	(44,712.7)	(52,933.1)	(60,135.9)
Employee Cost	(2,964.6)	(3,147.0)	(3,537.4)	(4,032.7)	(4,516.6)
Other Expenses	(687.4)	(920.2)	(1,320.4)	(1,538.4)	(1,730.2)
Operating Profit	**1,341.2**	**1,843.2**	**2,647.8**	**3,341.3**	**3,878.3**
Depreciation	(896.5)	(1,417.2)	(1,840.5)	(2,014.9)	(2,119.6)
PBIT	444.7	426.0	807.2	1,326.3	1,758.7
Other income	174.7	135.8	119.0	129.5	178.5
Interest	(200.9)	(298.2)	(496.3)	(521.7)	(535.7)
PBT	418.5	263.6	429.9	934.0	1,401.5
Extraodinary Fixed term consultant fees	-	-	-	-	-
Profit before tax (post exceptional)	418.5	263.6	429.9	934.0	1,401.5
Provision for tax	(100.2)	(112.5)	(132.0)	(235.1)	(352.8)
Reported PAT	**318.3**	**151.1**	**297.9**	**698.9**	**1,048.7**
MI	12.1	24.9	22.0	15.4	10.8
Net Profit	330.4	176.0	319.9	714.3	1,059.5
Adjusted Profit (excl Exceptionals)	**319.5**	**176.1**	**300.9**	**701.0**	**1,050.2**

Cash Flow St. (Rs. mn)	FY21	FY22	FY23E	FY24E	FY25E
Net Profit	319.5	176.1	300.9	701.0	1,050.2
Add: Dep. & Amort.	896.5	1,417.2	1,840.5	2,014.9	2,119.6
Cash profits	**1,216.0**	**1,593.3**	**2,141.4**	**2,716.0**	**3,169.8**
(Inc)/Dec in					
Sundry debtors	500.3	(33.0)	(2,264.2)	(1,318.8)	(1,152.8)
Inventories	-	(14.3)	1.9	-	-
Loans/advances	150.0	-	-	-	-
Other Current Assets	(1,191.2)	(1,311.0)	(1,046.1)	(895.0)	(1,012.0)
Current Liab and Provisions	207.1	773.2	180.5	201.9	244.8
Sundry Creditors	1,489.1	1,022.8	1,116.4	1,076.6	1,480.0
Change in working capital	1,155.3	437.7	(2,011.5)	(935.2)	(440.0)
CF from Oper. activities	**2,371.3**	**2,031.0**	**130.0**	**1,780.8**	**2,729.8**
CF from Inv. activities	**(2,558.3)**	**(3,822.5)**	**(1,530.4)**	**(1,053.9)**	**(632.3)**
CF from Fin. activities	**1,168.4**	**1,158.1**	**1,490.2**	**246.8**	**(29.0)**
Cash generated/(utilised)	**981.4**	**(633.4)**	**89.7**	**973.7**	**2,068.5**
Cash at start of the year	995.3	1,976.7	1,343.3	1,433.0	2,406.7
Cash at end of the year	1,976.7	1,343.3	1,433.0	2,406.7	4,475.2
	(0.0)	0.0	(0.0)	-	0.0

Balance Sheet	FY21	FY22	FY23E	FY24E	FY25E
Equity capital	717.0	719.3	719.7	719.7	719.7
CCPS	-	-	-	-	-
Reserves	4,964.0	4,745.5	4,866.5	5,387.6	6,257.9
Net worth	**5,681.0**	**5,464.8**	**5,586.2**	**6,107.3**	**6,977.6**
MI	28.0	2.8	(19.2)	(34.6)	(45.4)
Non Current Liabilites	1,963.1	2,990.6	3,289.0	3,617.3	3,835.4
Current Liabilites	9,198.6	11,296.2	14,010.1	15,254.4	16,922.8
TOTAL LIABILITIES	**16,870.7**	**19,754.4**	**22,866.0**	**24,944.4**	**27,690.5**
Non Current Assets	4,828.0	7,237.4	8,014.0	7,117.1	5,867.4
Fixed Assets	3,783.0	5,561.5	5,828.8	4,867.7	3,380.5
Goodwill	43.0	43.3	43.3	43.3	43.3
Non Current Investments	-	-	-	-	-
Deferred Tax Asset	221.0	268.5	292.1	144.0	144.0
Long Term Loans and Advances	-	-	-	-	-
Other Non Current Assets	781.0	1,364.1	1,849.9	2,062.1	2,299.5
Current Assets	12,042.7	12,517.0	14,852.0	17,827.2	21,823.1
Current investments	551.0	1,177.5	600.1	600.1	600.1
Inventories	-	14.3	12.4	12.4	12.4
Trade Receivables	4,856.0	4,889.0	7,153.2	8,472.0	9,624.8
Cash and Bank Balances	1,976.7	1,343.3	1,433.0	2,406.7	4,475.2
Short Term Loans and Advances	-	-	-	-	-
Other Current Assets	4,659.0	5,092.9	5,653.3	6,336.0	7,110.6
TOTAL ASSETS	**16,870.7**	**19,754.4**	**22,866.0**	**24,944.4**	**27,690.5**

Ratios	FY21	FY22	FY23E	FY24E	FY25E
OPM	4.1	4.5	5.1	5.4	5.5
NPM	0.97	0.42	0.57	1.13	1.49
Tax rate	(23.9)	(42.7)	(30.7)	(25.2)	(25.2)
Growth Ratios (%)					
Net Sales	(6.0)	26.9	26.1	18.4	13.6
Operating Profit	(15.2)	37.4	43.7	26.2	16.1
PBIT	(47.6)	(4.2)	89.5	64.3	32.6
PAT	(42.0)	(44.9)	70.9	133.0	49.8
Per Share (Rs.)					
Net Earnings (EPS)	4.46	2.45	4.18	9.74	14.59
Cash Earnings (CPS)	17.0	22.2	29.8	37.7	44.0
Dividend	-	-	-	-	-
Book Value	79.2	76.0	77.6	84.9	97.0
Free Cash Flow	4.8	(8.9)	(19.2)	18.0	37.0
Valuation Ratios					
P/E(x)	**100.1**	**182.2**	**106.7**	**45.8**	**30.6**
P/B(x)	5.6	5.9	5.7	5.3	4.6
EV/EBIDTA(x)	24.0	18.2	13.5	10.5	8.6
Div. Yield(%)	-	-	-	-	-
FCF Yield(%)	**1.1**	**(2.0)**	**(4.3)**	**4.0**	**8.3**
Return Ratios (%)					
ROE	6%	3%	5%	11%	15%
ROCE	5%	4%	7%	11%	13%

Source: Dalal & Broacha Research, Company

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